

Compliance Management Plan & Framework

Policy applicable to:

Copia	OC	Chester
Yes	Yes	Yes

Version control:

Approval Date:	30 April 2025
Approved by:	) Board
Reviewed:	) Compliance
Policy owner:	) Compliance
Other related policies	) All compliance policies
Key related legislation:	) ISO 37301:2021 Compliance management systems) ASIC RG No. 132 Funds management: Compliance and oversight

V.5.0

Contents

1	Purpose of Plan	3
2	Relationship of the Compliance Management System to the Risk Management Framework.....	3
3	Compliance Management System	4
3.1	Mandate and Commitment	4
3.2	Principles embedded within this Plan	4
3.3	Implementing compliance management	5
3.4	Monitoring and review of the framework.....	6
3.5	Continual improvement of the framework	6
4	Compliance Management Process.....	6
4.1	Obligation Identification.....	6
4.2	Obligations assessments.....	7
4.3	Obligations Register.....	7
4.4	Internal Controls	7
5	Compliance Culture - Performance management system	8
6	Policies and procedures	8
7	Embedding Controls and procedures	8
8	Schemes' compliance plans	8
9	Controls Testing and reviews	8
9.1	Controls self-assessments (CSA)	9
9.2	Internal controls reviews	9
9.3	External audit review	9
9.4	Special reviews	9
10	Reporting.....	10
10.1	Oversight reporting	10
10.2	Reporting to auditors	10
11	Reviewing the Compliance Management Plan	10

1 Purpose of Plan

The purpose of this Plan is to document the compliance management system established by Copia Investment Partners Ltd (**CIPL**). The components of this system consist of: this Plan; the Risk and Compliance Function and Board oversight.

The plan includes a **compliance management process** for identifying and managing obligations imposed or agreed to by the business. The compliance management process is integral to the system.

Compliance **obligations** include all relevant laws, including legislative requirements, industry codes, organisational standards as well as standards of good corporate governance, ethics and community expectations. These obligations cover both requirements that the business must comply with and commitments that the business has chosen to comply with.

This Plan recognises that compliance management is a necessary discipline that aims to systematically identify the business' obligations and to implement procedures to satisfy those obligations. This Plan will assist CIPL to manage its obligations in a prudent manner.

CIPL holds an Australian Financial Services Licence (**AFS Licence**) which permits it to conduct a financial services business.

The Governance Risk and Compliance Chart (an update of which is presented to the Board at each Board meeting) represents a pictorial version of Copia's governance, risk and compliance policies to support this Compliance Management Plan.

2 Relationship of the Compliance Management System to the Risk Management Framework

The compliance management system is part of the **risk management framework and strategy**.

Both the risk and compliance management frameworks fall under responsibility of the CIPL Board.

3 Compliance Management System

The compliance management system encompasses all documents and activities implemented by CIPL to manage its obligations. The compliance management framework is illustrated in Figure 1.

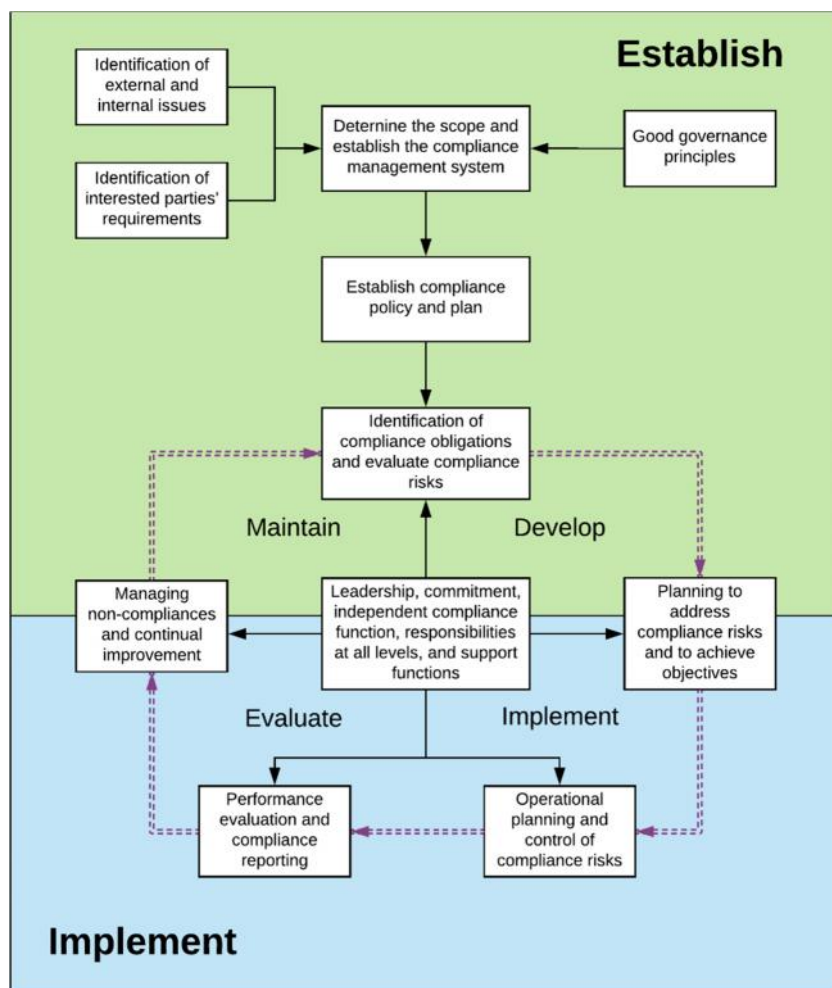


Figure 1: Flowchart of the compliance management system

3.1 Mandate and Commitment

This Compliance Management Plan is supported by CIPL's management and the Board. This support is evidenced by the Board adopting this Plan. The Board has delegated authority to the Compliance Function to implement, maintain and report on the risks and effectiveness of the system. The Board expects that all staff will be encouraged to attend training and use their best endeavours to implement this Plan.

3.2 Principles embedded within this Plan

The compliance management plan has been designed taking into account the guidelines set out in *International Standard ISO –37301:2021 Compliance management systems – Requirements with guidance for use*.

This plan has been designed to systematically identify, assess, control and report on obligations faced by CIPL. In designing the framework, we recognise our compliance obligations will change with

the development of new laws, regulations and standards. These obligations may also change with the development of new business services and client relationships.

3.3 Implementing compliance management

Responsibilities for implementing the compliance management process are:

The Board	The Board is responsible for the performance of the business. In executing this responsibility, it has adopted this plan. The Board relies on the Risk & Compliance Function to implement and report on compliance management matters. The Board encourages an organisational culture which prevents, and does not tolerate, behaviour that compromises compliance.
Risk & Compliance Function	Responsibilities: 1. Implementing the Compliance Management Plan. Duties in implementing the Plan are : a. ensuring that the resources needed for the compliance management system are available, allocated and assigned b. advising the Board of any recommended changes to the Policy c. maintaining the Compliance Management Plan, process and framework to ensure they are effective and meet the changing requirements d. providing appropriate training on compliance management e. establishing and maintaining accountability mechanisms, and 2. Providing regular reports to the Board to provide evidence of the effectiveness of the compliance management process and to give assurance that the compliance management framework is improved.
Compliance Manager	The Compliance Manager is responsible for: 1. maintaining the Risk & Compliance Function 2. reviewing the development of new externally imposed obligations 3. maintaining the obligations and controls register 4. integrating compliance obligations into existing policies & procedures 5. developing and implementing processes for managing information, such as complaints, incidents, breaches etc.; - and 6. agreeing corrective actions with process owners to address identified compliance failures.
Management team	The executive team is required to: 1. be aware of and act consistently with the Compliance Management Plan and compliance framework and policies 2. support the Risk & Compliance Function and the risk and compliance frameworks

	3. report to the Risk & Compliance Function any issue or potential breach of an obligation or the development of new obligations not addressed by the compliance management process; and 4. reinforce and support a compliance culture and appropriate behaviours that prevent, and does not tolerate, behaviour that compromises compliance.
--	--

CIPL has also adopted a “*Three Lines of Defence*” model in the compliance management process. An overview of the compliance management model is described below:

1 st Line		2 nd Line	3 rd Line
Management Controls (policies, procedures & processes)	Internal Control Measures (internal controls assurance system)	- Financial controls - Security (cyber & other) - Risk Management - Compliance Management - Quality Control	- Compliance reviews - CRS Certus (independent service provider) - Independent reviews (as required)

3.4 Monitoring and review of the framework

The framework will be monitored by the Risk & Compliance Function. The Board will receive regular reports from the Risk & Compliance Function on the compliance management process as part of the Risk & Compliance Report.

3.5 Continual improvement of the framework

The compliance management framework will be improved based on the monitoring undertaken by the Risk & Compliance Function to address any relevant findings of the effectiveness assessments.

4 Compliance Management Process

The compliance management process is used to identify compliance obligations; assess the risks that may result from a failure to comply with an obligation; record key obligations; record mitigating controls and control ownership; and to gain assurance that the documented controls are working.

4.1 Obligation Identification

The obligations of CIPL are regularly identified and the Risk & Compliance Function is responsible for identifying these obligations. Sources of compliance obligations may include:

- a. legislation (including subordinate legislation)
- b. common law
- c. licences
- d. guidance issued by regulators
- e. court judgements or administrative tribunal decisions
- f. industry codes and standards
- g. Strategic Plan and Board discussion of business operations and new developments

- h. arrangements with legal and professional advisors
- i. being on relevant regulators' mailing lists
- j. memberships of professional groups
- k. subscribing to relevant information services
- l. attending industry forums and seminars
- m. monitoring regulators' websites

4.2 Obligations assessments

Obligations assessments involve:

- 1. Maintaining an Obligations Register, and
- 2. Implementing internal controls to address registered obligations

4.3 Obligations Register

Identified obligations will be recorded in an Obligations Register. This Register will record the source of each obligation.

Not all identified obligations may be recorded in the Obligations Register. All material compliance obligations will be recorded. Material obligations include duties that, if not complied with, may result in a:

- 1. criminal offence or civil penalty sanction
- 2. loss, suspension, or involuntary variation of an AFS Licence held by Copia
- 3. CIPL being removed as a trustee of a managed investments scheme, or
- 4. exposure to civil action for losses incurred by investors or third parties

Obligations may be categorised in the register according to the business activities and subsidiary business processes.

4.4 Internal Controls

Where possible, registered obligations will be linked to operational procedures implemented to effect business outputs which comply with those obligations.

Collectively, procedures designed to effect compliant outcomes or assurance controls are **internal controls**. Where the controls are weak, the Compliance Function may propose additional internal controls to address the obligation.

The Risk and Compliance Function will assign a **responsible position** to a control. A responsible position is a defined position assigned to an employee or service provider who has been delegated responsibility for the particular business procedure or control. The **responsible person** who holds a **responsible position** is accountable for the proper performance of the internal controls falling under their responsibility.

Internal controls are recorded in CRS Certus (Copia's risk and compliance management system)

5 Compliance Culture - Performance management system

The compliance culture of CIPL is evidenced by and dependant on the actions and behaviours of its directors, employees and service providers. The Board and the executive team will exhibit leadership in supporting the compliance management framework and encouraging and evidencing an appropriate compliance culture.

An effective, efficient and well governed organisation comprises staff who are: competent, motivated, responsible and accountable. If our staff exhibit the correct behaviours, then CIPL will collectively exhibit a culture of good governance. Good governance is critical for maintaining an effective first line of defence.

6 Policies and procedures

Policies are required to articulate Copia's position and approach to a variety of disciplines and matters. Policies are approved by the Board of Copia.

Some policies are required to be implemented as part of the compliance framework required for our AFS Licences or by regulatory guidance. Others have been adopted as best industry practice.

Business processes and procedures are implemented having regard to the CIPL's policies. Key requirements of our policies are recognised as obligations within our compliance management framework.

7 Embedding Controls and procedures

CIPL has a number of compliance obligations. The complexity of these obligations requires formal processes to ensure the obligations are understood and addressed. Many of the obligations will be incorporated into operational procedures. Where possible, operational obligations should be incorporated into standardised workflows or evidenced by the completion of checklists or by sign-off procedures. Controls are recorded in CRS Certus and the same are monitored on a regular basis though monthly, quarterly, half yearly or yearly as appropriate.

8 Schemes' compliance plans

Managed investments schemes registered with the Australian Securities & Investments Commission (ASIC) are required to have documented compliance plans (**Scheme Compliance Plans**) which must set out measures that CIPL, as the appointed responsible entity, must apply in operating the relevant managed investment scheme to ensure compliance with the *Corporations Act* and the scheme's constitution.

The *Corporations Act* lists matters that must be addressed in a Scheme Compliance Plan. The Compliance Plans for the various managed investment schemes that operate under Copia's licence are reviewed regularly and audited by an external auditor annually.

9 Controls Testing and reviews

The integrity of the compliance management system is maintained through internal controls testing. Testing will be completed by:

- a. Controls self-assessments
- b. Internal controls reviews; and
- c. External audit review; and

9.1 Controls self-assessments (CSA)

Responsible persons will complete regular CSA questionnaires regarding internal controls that they are responsible for. The frequency of CSA questionnaires will vary depending on the materiality of the risk addressed by the controls and the level of support provided by other independent controls covering the same obligation.

Responses to CSA questionnaires will be considered and, if required, investigated by the Risk & Compliance Function. An exception report will be provided to the Board if there is a material breakdown in a business control (which would include any breakdown in a regulatory obligation).

9.2 Internal controls reviews

Testing of internal controls will be focused on controls that have been implemented for risks that are high or above to Copia.

Copia's Risk & Compliance function will determine which controls should be tested, having regard to priorities of regulators, changes within the financial services laws and risks that are deemed high for CIPL at any given time.

9.3 External audit review

CIPL is required to appoint registered company auditors to review the financial records of the AFS licence holder (or holders). The auditors must consider the controls environment of the licensee as they relate to the companies' financial records. The duties of the external auditors are extended by the *Corporations Act* to include a review of the controls systems to ensure compliance with the conditions imposed on the AFS licence.

CIPL is also required to appoint separate registered company auditors to review the financial records of each registered managed investments scheme and to review the performance of CIPL in fulfilling its obligations under the Schemes' Compliance Plans.

Any breaches of a financial reporting obligation or of AFS Licence conditions will be reported by the appointed company auditors to ASIC. In the case of the registered managed investments schemes, the Scheme Compliance Plan auditors are required to identify breaches of obligations within the compliance plans in their audit opinions which must then be given to ASIC by the relevant responsible entity.

The appointed auditors may report business process or controls improvements directly to CIPL.

The reviews of the controls environment by the appointed auditors provide the third line of defence within the compliance framework.

9.4 Special reviews

The Board and or management may also resolve to undertake independent reviews on CIPL's compliance and risk management framework.

10 Reporting

Risk & Compliance Reports are provided to the Board at each scheduled meeting.

Reporting of any breakdown of a control or compliance obligation is managed in accordance with CIPL's Incident & Breach Handling Policy.

In addition, CIPL has implemented a Complaints Handling Policy, and any complaints are managed in accordance with this Policy.

10.1 Oversight reporting

Regular reporting is provided to the board at each meeting on any identified incidents, breaches or complaints in accordance with the above policies.

10.2 Reporting to auditors

As noted above, CIPL has appointed auditors for providing opinions on: company financial reporting and compliance with AFS Licence conditions; the registered managed investments schemes' financial reporting; and compliance with the compliance plans adopted for the registered managed investments schemes.

Accordingly, both the company and Scheme Compliance Plan auditors will be advised of any breaches identified by CIPL. CIPL will make the Incidents/Breaches Register available for review by the auditors.

In the case of reportable matters reported to ASIC, the Risk & Compliance Function may provide copies reports to the auditors prior to the commencement of their annual audit work. CIPL should report all breaches to ASIC prior to the auditor making any report.

11 Reviewing the Compliance Management Plan

The compliance management system will be reviewed at least every two years or earlier if there is a material change in regulation or business operations.